

7.6

Long term

Investments

In this section, we start with Long-term Investments - the financial part of Non-current assets. The first line item we will analyze is Long-term Investments.

Long-term Investments / Total Assets

Long Term Investments						
Long term Investments/ Total Assets	3.68%	1.12%	2.52%	6.70%	7.13%	3.84%
Compute the return generated on Long term						
Purpose of long term investments. What the company intends to do with it						
Form of investments. Equity/ Debt/ MF.						

We need to calculate long-term investments as a percentage of total assets. As seen, this ratio has been relatively low at 2-3%, except for FY 2020 and FY 2019, where it stands at greater than 6 percent. 2020 and 2019 see a higher amount because the company was accumulating cash to acquire another company. At the end of FY 2021, 3.84% of total assets were tied up in long-term investments

Depending on the kind of business, a company can have even 30-40 percent of total assets in long-term investments.

EXAMPLE

Berkshire Hathaway, being an investment entity, might have a large part of its assets in the form of long-term investments.

